

EM Fiscal R-Star: Where the Tensions Are

Mapping fiscal–monetary stress across 19 EMs using a new framework for measuring debt-stabilising real rates

Fiscal R*: a new framework

Fiscal R* is a recent addition to the macro toolkit. The concept was introduced by Bolhuis, Koosakul and Shenai in IMF Working Paper 24/174 (August 2024), and is defined as the real interest rate that stabilises the public debt-to-GDP ratio for a given primary balance, trend growth and inflation target. It is the fiscal counterpart to monetary R*: where monetary R* is the real rate consistent with output at potential and inflation at target, fiscal R* is the real rate consistent with stable debt dynamics. Both are equilibrium real rates, and both are unobservable — they are model-derived benchmarks, not market quotes.

The two rates need not coincide. When monetary R* exceeds fiscal R*, the neutral policy rate is higher than the rate at which debt stabilises. The system can adjust along three margins: the primary balance is tightened toward the level that supports the higher real rate (fiscal consolidation), policy is run below monetary R* to keep debt serviceable (fiscal dominance), or the bond market re-prices, with wider term premia and a weaker exchange rate absorbing part of the gap. The IMF authors term the difference between the two rates the **fiscal-monetary gap** and document a positive empirical association between large gaps and subsequent debt accumulation, inflation, and incidence of financial repression in advanced economies.

This note applies the IMF formula consistently across 19 EMs, using inputs from J.P. Morgan country economists, and ranks the resulting gaps. Seven countries — across CEEMEA, LatAm and two Asian outliers — sit in a clear tension zone where fiscal R* is materially below monetary R*. Five countries cluster at the comfortable end, with fiscal R* above monetary R* by more than a percentage point. The remaining seven are within a percentage point of alignment.

The formula

Setting the change in the debt-to-GDP ratio to zero in the standard debt-accumulation equation and solving for the real rate gives:

$$R^*_{\text{fiscal}} = g + (pb^*/d) \times (1 + g + \pi) - TP$$

where g is trend real growth, pb^* is the targeted primary balance (% of GDP), d is the debt stock to be stabilised (% of GDP), π is the inflation target, and TP is the term premium. The $(1+g+\pi)$ factor adjusts for the nominal denominator of the debt ratio and is a small correction (5–40bp in our sample). The term premium is subtracted so that fiscal R* is expressed on a short-rate basis, directly comparable to monetary R*.

The signs are intuitive. Higher trend growth raises fiscal R*: a faster-growing economy can sustain a higher real rate without explosive debt dynamics. A more positive primary balance does the same. A higher debt stock lowers fiscal R* by amplifying the impact of any given primary balance shortfall on debt dynamics.

Two methodological points. First, fiscal R* is a steady-state concept: it tells us the real rate that *would* stabilise debt if growth, the primary balance and inflation realised at their assumed paths. It is silent on whether those paths are realistic. Second, our calculations use *target* primary balances rather than *current* primary balances. Where target balances embed planned consolidation, fiscal R* is more favourable than it would be on a no-policy-change basis; this matters most for the LatAm and CEEMEA countries with large primary deficits today.

Three groupings

Sorting the 19 EMs by the fiscal-monetary gap produces a tripartite split. Seven countries sit in tension (gap below -1.5pp). Seven cluster within $\pm 1\text{pp}$ of alignment. Five sit in the comfortable zone (gap above $+1\text{pp}$). The regional pattern is uneven: CEEMEA and LatAm dominate the tension end, while four of the five comfortable observations are Asian. Part of this reflects fiscal positions, part reflects the level of monetary R^* : where neutral policy rates are very low (TWN at 0.5% , MYS at 0.75%), the gap can be wide even with modest fiscal R^* .

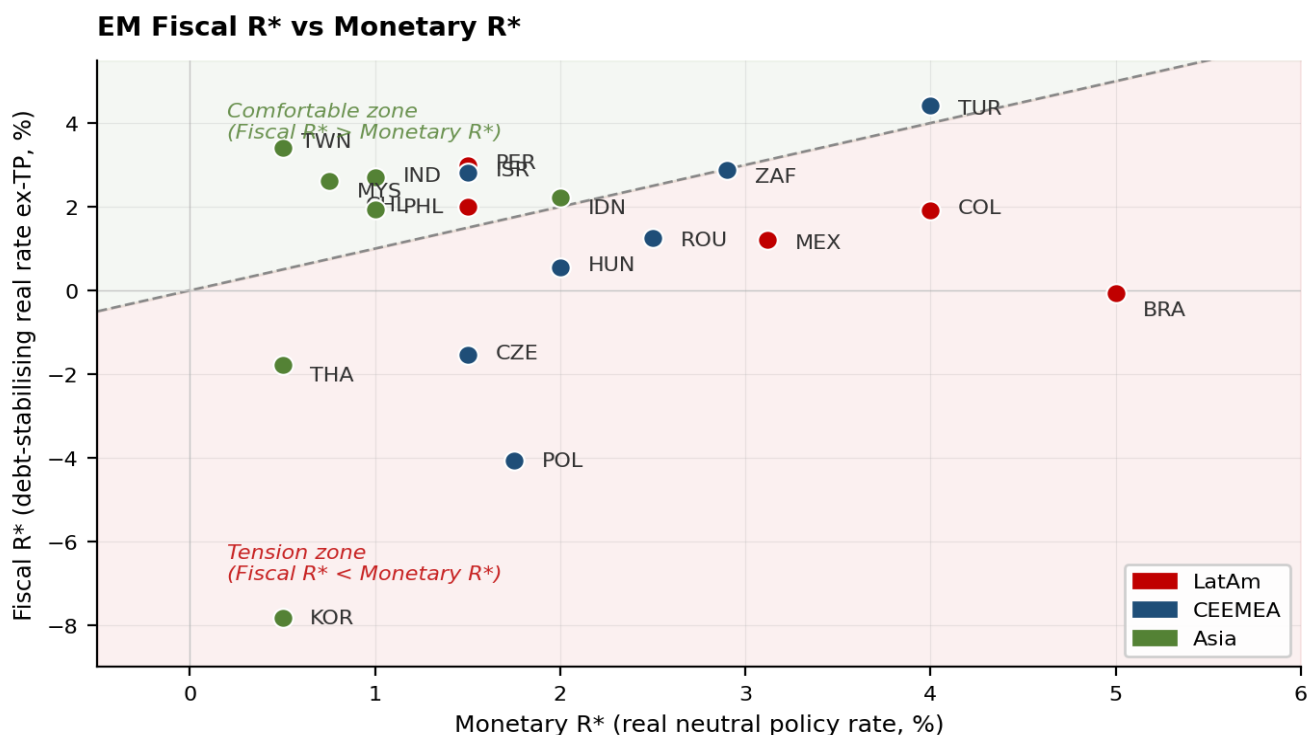


Chart 1. Fiscal R^* vs Monetary R^* . Points below the 45° line are in the tension zone (fiscal $R^* <$ monetary R^*). Source: J.P. Morgan country economists; calculations apply IMF WP/24/174 formula consistently across countries.

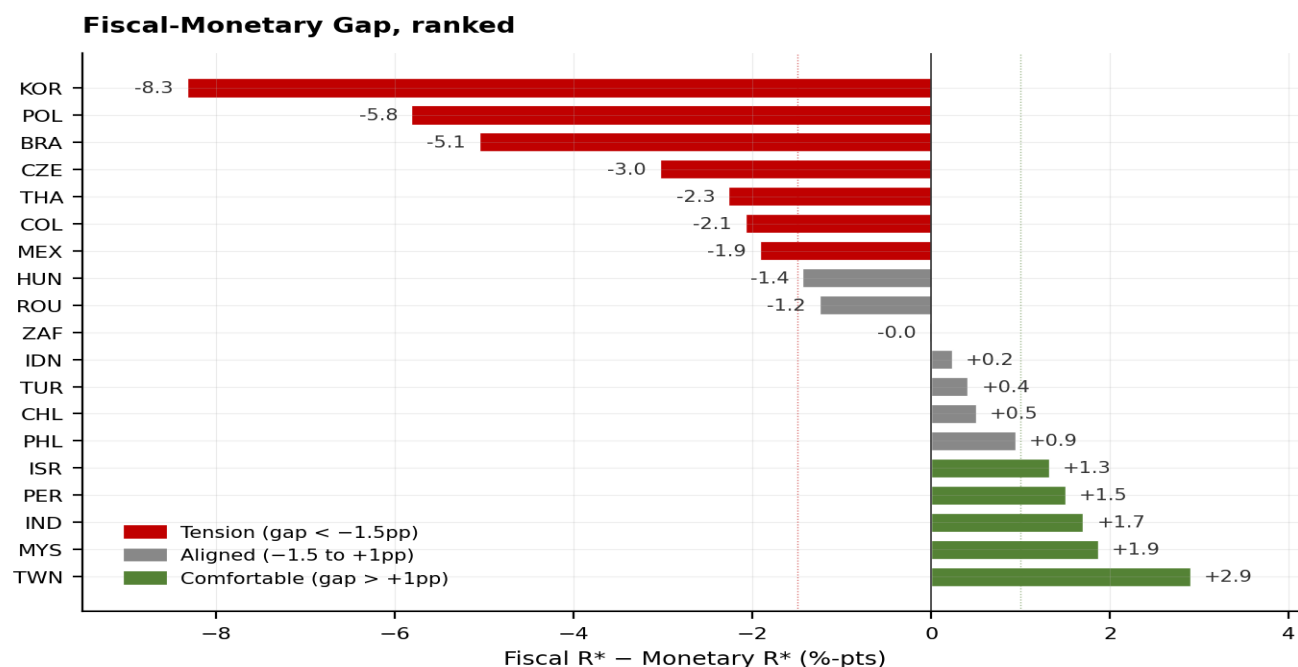


Chart 2. Fiscal-Monetary gap across 19 EMs. Negative values flag fiscal-monetary tension. Source: J.P. Morgan; calculations using IMF WP/24/174 framework.

The tension zone (gap below -1.5pp)

KOR, POL, BRA, CZE, THA, COL, MEX. The seven countries reach this zone via different mechanisms, which the decomposition in Chart 3 makes explicit. KOR (gap -8.3pp) and POL (-5.8pp) are deficit-driven: both have wide structural primary deficits relative to their debt stocks (target pb of -4.5% and -3.9% of GDP respectively), which

produces a large negative primary-balance term in the formula. BRA (−5.1pp) is different: target pb of −0.5% and growth of 1.7% deliver a fiscal R* close to zero, but monetary R* sits at 5.0% — the highest in the sample. The tension is the high real neutral rate against a fiscal arithmetic that does not support it.

COL (−2.1pp) and MEX (−1.9pp) sit further down the gap distribution, but their term premia of 2.8pp and 2.0pp do meaningful work in the calculation: without the term-premium adjustment, both would print closer to alignment. CZE (−3.0pp) and THA (−2.3pp) reflect lower fiscal R* against moderate neutral rates of 1.5% and 0.5% respectively.

The aligned zone (gap −1.5 to +1pp)

HUN, ROU, ZAF, IDN, TUR, CHL, PHL. Fiscal arithmetic and monetary policy are roughly compatible in this group, but the absolute level of the two rates varies widely. TUR sits at alignment with both rates near 4% real — alignment at high rates. ZAF (−0.0pp) is at exact alignment, with a target primary surplus of 1.9% of GDP offset by a 1.5pp term premium. IDN (+0.2pp), CHL (+0.5pp) and PHL (+0.9pp) are within a percentage point of neutral on the comfortable side.

The comfortable zone (gap above +1pp)

ISR, PER, IND, MYS, TWN. Real growth is the dominant contributor in this group, particularly for IND ($g = 6.5\%$, gap = +1.7pp). ISR (+1.3pp) and PER (+1.5pp) combine moderate growth with relatively low debt stocks (32% and 68% of GDP). The Asian comfortable cases (MYS, TWN) merit a caveat: the gap is wide because monetary R* is unusually low (0.75% and 0.5%), not because fiscal R* is high. If monetary R* in those economies rises with the global cycle, the gap will compress.

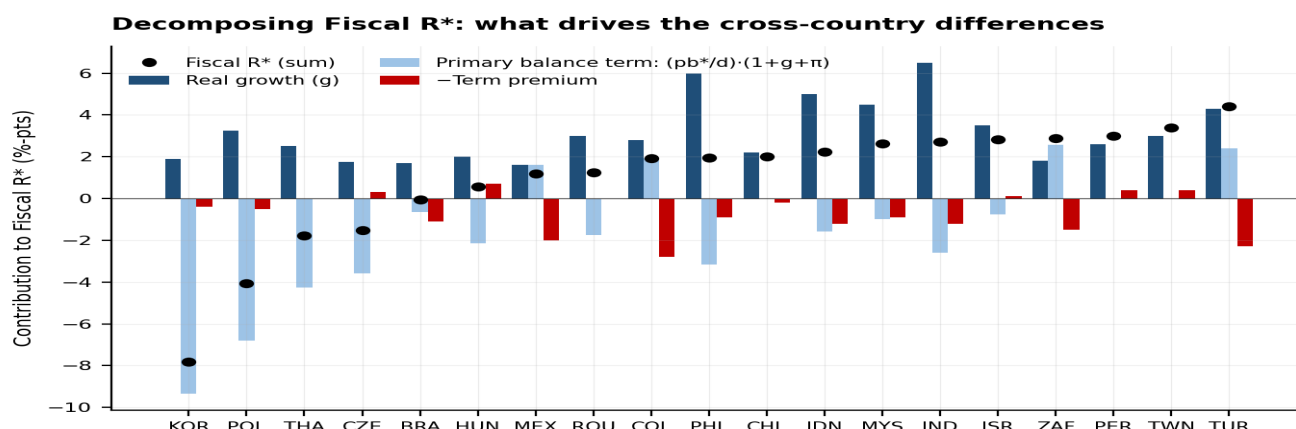


Chart 3. Decomposition of fiscal R*. Real growth (navy) and the primary-balance term (light blue) are the two main drivers; the term premium subtracts (red). Black dots show the resulting fiscal R*. Source: J.P. Morgan country economists; IMF WP/24/174. Term premia for ISR, IDN, MYS, PHL, TWN approximated from 5Y averages (± 20 –30bp). Country economists' original estimates available on request.

Bottom line

Across 19 EMs, fiscal R* and monetary R* diverge by more than 1.5pp in seven cases, with fiscal R* lower in all seven. The mechanism behind the gap differs by country: deficit-driven in KOR and POL, neutral-rate-driven in BRA, term-premium-driven in COL and MEX. Five EMs sit in the comfortable zone, but in two of those (MYS, TWN) the gap reflects unusually low monetary R* rather than high fiscal R*, and would compress if Asian neutral rates rise. The fiscal-monetary gap is a steady-state diagnostic: it identifies where the targeted fiscal stance is inconsistent with the prevailing real neutral rate. It does not predict the timing or form of any adjustment.